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Could copper lose its tariff premium?

Copper has rallied sharply on expectations of US import tariffs, as traders rush metal into the US and physical markets tighten. With prices back near record highs, any policy disappointment could put that tariff premium to the test

Monthly US copper imports surged to a 12-year high of more than 200,000 tonnes in July ahead of potential tariffs

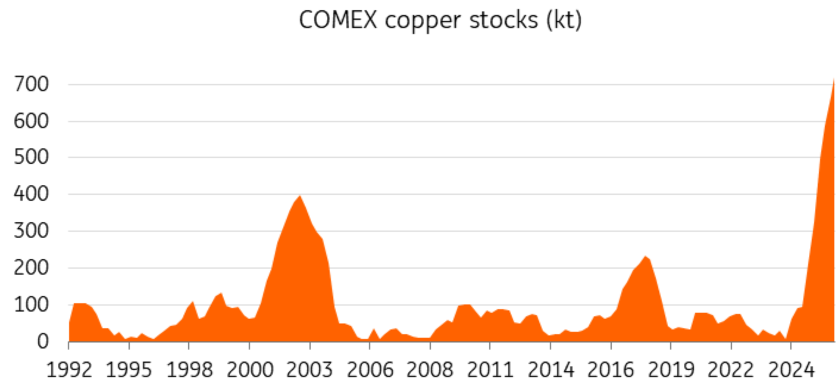
Copper is trading above $14,000/t, close to its record high. At the same time, LME inventories have fallen further, and the cash-to-three-month spread has moved deeper into backwardation, highlighting increasingly tight physical market conditions.

In our June note, What's next for US copper import tariffs?, we examined the possible policy outcomes. Since then, traders have continued to position for potential tariffs, with the impact becoming increasingly visible in trade flows, inventories and physical market indicators.

Tariff expectations remain a key market driver

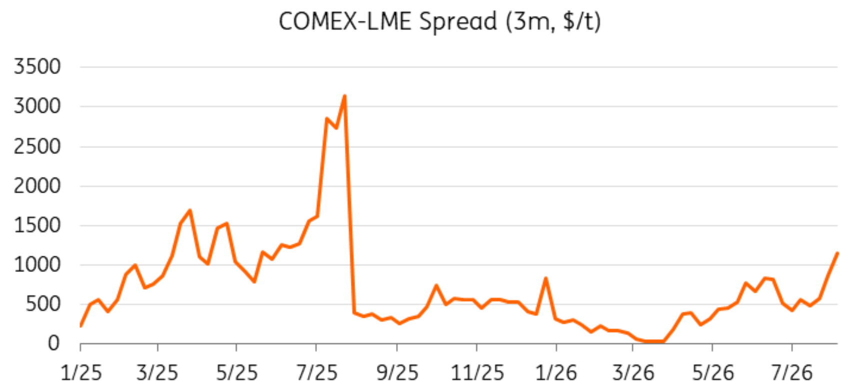
Copper shipments into the US have accelerated ahead of a potential tariff decision, pushing COMEX inventories to a record high. US copper imports exceeded 200,000 tonnes in July alone – the highest monthly level in at least 12 years.

COMEX inventories reach record highs



Source: COMEX, ING Research

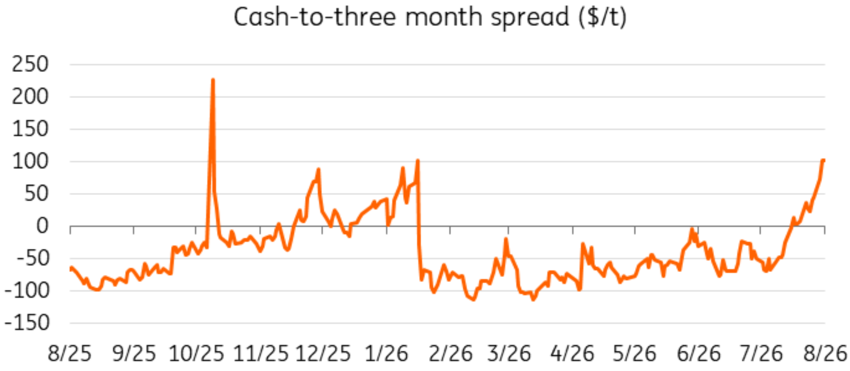
Wide COMEX-LME spread continues to attract copper into the US



Source: COMEX, LME, ING Research

At the same time, the London copper market is showing increasing signs of tightness. LME inventories have fallen to a five-month low, while the cash-to-three-month spread has widened to around $120/t backwardation – up from about $40 a week ago and the widest since October, pointing to a squeeze on short-term supplies.

Nearby copper market tightens



Source: LME, ING Research

LME inventories continue to decline

Source: LME, ING Research

Can tariff expectations continue to drive prices?

The recent rally is not solely tariff-driven, however.

Mine supply growth remains constrained, while low treatment charges continue to point to tight concentrate availability. Demand linked to electrification, power grid investment and AI infrastructure also remains supportive. We continue to expect the global refined copper market to record a deficit of around 35k tonnes in 2026.

Much of the recent rally reflects expectations that tariffs will be implemented broadly as expected. But if the final measures are delayed, narrower than expected or exempt refined copper, part of the recent rally could unwind. Stockpiling into the US would slow, inventory flows would begin to normalise, and some of the current tightness outside the US would ease. Any correction could be amplified if investors unwind positions built on tariff expectations.

The tariff decision is only part of the story

The prospect of US tariffs has already reshaped the copper market. Inventory flows have shifted, physical conditions have tightened, and prices have moved back towards record highs.

Much of that repricing has already happened. Once the tariff decision is announced, the market's focus is likely to shift back to underlying fundamentals.

That would not necessarily change the broader outlook for copper. Any correction would be more likely to reflect a reassessment of tariff expectations than a deterioration in the underlying fundamentals.

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